Lee Kuan Yew School of Public Policy

**PP5182**
**Economic Diplomacy in the Age of Strategic Interdependence**
**AY2026/2027 Semester 1**

Last updated: 2026 Nov 05

## Teaching Staff

**Instructor:** Danny Quah
**Office:** OTH Level 3 Wing A
**E-mail:** D.Quah@nus.edu.sg
**Office Hours:** Tue 3pm-6pm

**Teaching Assistant:** (None)
**Email:**

## Class Details

**Class Meeting Time:** Mon 2pm-5pm

**Class Location:** MM.SR2-1

**Canvas:** https://canvas.nus.edu.sg/courses/98197

### Course Description

As power-asymmetric unilateralism and strategic interdependence reshape the global economy, small states see pressing need for strategies that go beyond price-taking and rule-following. This course examines how Asia's policymakers can use economic diplomacy to address the challenges of geoeconomics. Combining conceptual analysis with policy practice, students engage in case studies, negotiations, simulations, and strategy design exercises to develop actionable responses to contemporary geoeconomic challenges. To complete the course, students co-write a policy white paper that proposes practical economic diplomacy strategies for Asia's leaders to strengthen resilience, promote prosperity, and sustain rules-based multilateralism in an increasingly contested world.

### Prerequisites

The course has no prerequisites in terms of technical background. However, students will feel the course better serves them if they have, for the last couple years, taken general interest in global developments in geopolitics or international economics.

**Intended Learning Outcomes**
After taking this course, students will be able to:

1. frame the contemporary geopolitical and geoeconomic challenges of power-based unilateralism and strategic interdependence that face Asian states using advanced conceptual frameworks;
2. evaluate alternative response strategies, balancing incentives, institutions, and mechanisms rather than drawing solely on power politics;
3. formulate actionable economic diplomacy strategies and negotiate differing national interests across multiple governments to strengthen collective resilience, promote joint prosperity, and sustain rules-based multilateralism in Asia;
4. write professional-grade economic diplomacy policy papers;
5. communicate evidence-based trade policy and economic diplomacy proposals to senior policymakers.

**Pedagogy**
The course combines conceptual analysis with policy practice. Anchored by a 20-min lecture each week, students engage in case studies, negotiations, simulations, and strategy design exercises to develop actionable responses to contemporary geoeconomic challenges. Over the term there will be roughly equal proportions of lecture, student participation, and Canvas and paper writing.

Students will learn economic diplomacy both through new conceptual architectures and through simulated practice. Over the semester students will progressively develop a policy proposal for economic policy, moving from problem analysis to national strategy, international negotiation, and finally regional policy design.

This course is built around one evolving policy project. Every assessment is a different milestone, another stage in developing the same professional product. Nothing is discarded. Each milestone becomes part of the product.

**Course Material**
Fast and reliable connection to Canvas and the Internet generally will be essential. All readings and other study materials (including podcasts, videoclips) will be publicly available online.

**Course Assessment**

| Assessment | Weight (%) |
|---|---|
| General class participation | 15 |
| Policy briefing (team; weekly) | 05 |
| Policy memo (individual; 1,200 words; Fri COB week 6) | 15 |
| Country strategy presentation (team; weeks 10, 11) | 20 |
| Negotiation performance (team; week 12) | 15 |
| White paper (team; 6,000 words; Fri COB week 13) | 30 |

For fairness on the writing assignments (the policy memo and white paper) no late submission will be permitted.

**Participation**

Participation means contribution to collective learning. That is, for our class discussions, success will come not from talkativeness or by dominating the conversation but from your improving the quality of the discussion. Listen to the flow of the conversation, identify disagreements, summarise opposing views, find points of agreement; seek broader consensus.

Did your intervention advance the conversation? Connect ideas? Respond constructively to classmates' comments? Ask an insightful question? Introduce new relevant data? Help develop good ideas from classmates?

What works well is constructive intellectual engagement, not performance.

**Workflow**

The one course project to keep in mind is the 6,000-word white paper due at the end of term. Along the way you will be asked to undertake a number of assessments. Think of those not as individual assignments but consider each a milestone that marks the successive build stages of your one evolving project. Each assessment turns into the next, and all your work cumulatively adds up. There is just one project, and things you hand in along the way simply keep things on track.

**Milestones**

1. (week 6) Define the problem. Individually-written 1,200-word policy memo.

2. (weeks 10-11) Establish your PP5182-nation's position. Team presentation on country strategy.
3. (week 12) Test it. Negotiation simulation: International bargaining.
4. Final output (week 13) 6,000-word white paper (Team). The output is already a field-tested product, not an academic draft. It contains the lessons from your research, your presentations on the road, your negotiations with others, and feedback from the different audiences. Be sure to note how far you got on regional consensus or small-nation cooperation.

Nothing you do is discarded or disconnected. You are assembling the project paper, not writing it.

**Teamwork**

Early on the cohort will divide into approximately ten teams, depending on the actual class composition). This team is yours for the rest of the semester. Each team will focus on one ongoing policy problem and will represent one nation throughout (for concreteness, let's choose from ASEAN plus), allowing your perspective by the end of the course to converge closer towards that of your PP5182-country.

Policy problems include supply-chain disruption; trade tariffs; export restrictions; semiconductor dependence; critical minerals supplies; digital trade; AI governance; regional payment systems; food security; maritime logistics; energy transition; green supply chains; power-asymmetric unilateralism; chokepoint and inter-dependence weaponisation; commodity price volatility; trade fragmentation; fractured multilateralism; and so on.

Your PP5182-country is ideally one of the ASEAN nations—just to keep things under control. No one gets to be the US or China. Economic diplomacy is about what small states have to do.

After teams are assigned, in every discussion you should be asking “What does my PP5182-country think?”

(Random device to partition.)

**Weekly policy briefings**

The first 15 minutes of each class meeting will be a weekly policy briefing, "This happened this week" (since our class is Monday of course what we mean is "this past

week"). What you brief is not tied to your white paper but what actually happened in the world that affects your PP5182-nation.

Each week a different team gives a five-minute ministerial briefing (the 5 minutes is a strict upper bound). You were called by the Minister's office just one hour ago; you have five minutes to speak. Your job is not to tell the Minister everything. It is to tell the Minister what they most need to know.

1. The rest of the class plays Minister's staff and queries the team after.
2. Attract good marks for being clear; prioritise sharply; make good judgement; emphasise precision and brevity — don't overspeak.
3. This is intended to be light-touch. It is a recurring, low-stakes professional exercise. Don't put effort into making it a polished presentation — at most two slides but preferably none: What happened? Why does it matter? What should policymakers be watching on this?

The beginning week featured the ASEAN team, a one-off, that looked at an appropriately timely issue. The sequence thereafter is the following (with a doubling up in Week 9, but with the same time duration for each team that week as for all the others):

W04 – Laos
W05 – Cambodia
W06 – Thailand
W07 – Myanmar
W08 – Malaysia
W09 – Indonesia, Vietnam
W10 – Singapore
W11 – Philippines, Brunei

**Writings**

A **policy memo** is written for busy decision-makers. Think of an email message, only formal and on the record. A distilled summary of a larger problem and no longer than 1,200 words, the policy memo must contain:

1. Header: Standard To, From, Date, and Subject lines (like email).
2. Summary: Quick opening statement of the problem and its main fix. This needs to be short and punchy.
3. Background: Say why this is the top priority now.
4. Analysis/Options: List possible options; give short pros and cons on each.

5. Recommendation: Next steps supported by data and evidence. What are the specific action points?

The policy memo identifies a specific problem, analyses evidence, and proposes a concrete solution. The focus is on an immediate problem that needs to be solved.

A **white paper** is an official Government document written to explain or discuss specific government policies, national strategies, or broad, systemic trends important to the general public. A white paper is often tabled for formal Parliamentary debate and forms the direct basis for a formal bill to be introduced subsequently.

The white paper is not an academic essay. It is a professional policy document. It seeks to persuade policymakers to adopt a coherent programme of action.

(A white paper stands in contrast to a green paper which this course doesn't do but is a non-binding preliminary consultative document meant to generate open discussion and gather feedback.)

In PP5182 the policy memo is the first step in assembling the white paper. Choose a policy problem (supply-chain disruption; trade tariffs; export restrictions; semiconductor dependence; critical minerals supplies; digital trade; AI governance; regional payment systems; food security; maritime logistics; energy transition; green supply chains; power-asymmetric unilateralism; chokepoint and inter-dependence weaponisation; commodity price volatility; trade fragmentation; fractured multilateralism; and so).

Address the questions "What is the policy problem? Why does it matter?" Your white paper will grow out of your policy memo. No work is wasted.

**Country Strategy Presentation**

How is Country Y (your PP5182-country) approaching the policy problem? Present that strategy. Do it in eight minutes after which a 7-minute discussion follows.

The **Negotiation** exercise that follows is described as providing empirical evidence and a final test for your White Paper. It is. But the heart of the work that goes into that **Negotiation** presentation is a set of concessions, sticky disagreements, coalitions, and implementation challenges. And all that has to be navigated in the space between the **Country Strategy Presentation** and **Negotiation**. In reality that might be

backroom deals; here it' s homework. What is described as "outcome from negotiations" has to happen in this in-between time.

**Negotiation**

This is a simulation that is the consultation exercise for your White Paper. On the basis of the negotiations following your Country Presentations, you'll have collected the empirical evidence on your final report. Make special note of concessions (that you make, that others give on); sticky disagreements; coalitions (who's on your side); implementation challenges (what obstacles facing your proposals). The outcomes from these negotiations can be recorded as your report's empirical evidence.

The Asia 2035 Policy Summit features a keynote lecture "ASEAN in an Age of Geoeconomic Fragmentation" by Prof Mari Pangestu, Special Envoy to the President of the Republic of Indonesia for International Trade and Multilateral Cooperation.

**Academic Integrity**

Please read and familiarize yourself with the NUS Code of Student Conduct. NUS and LKYSPP regard academic integrity as a very important value. To avoid giving the impression that you are passing off other people's work as your own, you will need to acknowledge conscientiously the sources of information, ideas, and arguments used in any of your assignments. The NUS online course you took during the Orientation Programme outlined what counts as plagiarism and why it is wrong. LKYSPP takes pride in maintaining a strong culture of academic integrity.

Compare this with the saying "Good artists copy, great artists steal". Copying is "passing off other people's work as your own". As the NUS Code of Student Conduct might then suggest: That's not even being a good artist; that's being a lousy rule-breaking pretender. Instead, what you want to aspire towards is what Steve Jobs meant every time he used that saying about what great artists do, that you build so much on the best that it becomes your own creation. Sometimes that means starting from scratch. Sometimes it means recognizing when someone else has produced the best … so far.

**AI Policy**

NUS policy on AI in Teaching and Learning is on public record; please familiarize yourself with it. I would just add that as far as I'm concerned you are free to make use of whatever AI you wish to help your learning. I ask only that you don't copypaste whole chunks of output unmodified into whatever you hand in to me. Use what AI provides you and make it better.

**Respect for People**
Please read and familiarize yourself with the NUS Code of Student Conduct. LKYSPP is committed to maintaining a culture in which everyone is treated with respect, regardless of gender, race, language, values, religion, and disabilities. Together, we can strive to treat others with respect and consideration, embrace diversity, and foster an inclusive community.

I want our classroom to be a safe space that encourages inclusive and diverse learning.

**Accessibility Support**
LKYSPP is committed to offering classes that are accessible. If you anticipate or encounter disability-related barriers in a course, please contact the Office of Student Affairs (OSA) for accessibility support. OSA and will establish and communicate reasonable accommodations to Academic Affairs, who will assist with approved arrangements for the course.

**Other Information**
I am fine with our class sessions being recorded. However, if any student feels they would prefer otherwise, they can explain to me why, and provided it's reasonable, I will ask our sessions to be not recorded.

**Course Outline and Schedule**

| Week | Date | Topic |
|---|---|---|
| Week 1 | 10 Aug | (National Day Holiday; no class meeting) |
| Week 2 | 17 Aug | Geoeconomics |
| Week 3 | 24 Aug | Globalisation to strategic interdependence. 3S |
| Week 4 | 31 Aug | Economic Security |
| Week 5 | 07 Sep | Industrial policy. And messing trade about generally |
| Week 6 | 14 Sep | Multilateralism: What future. |
| Week 7 | 28 Sep | Economic diplomacy in a G-minus world. |
| Week 8 | 05 Oct | Basic toolkit for economic diplomacy. 3A |
| Week 9 | 12 Oct | Making cooperation ordinary. Strategic competition |
| Week 10 | 19 Oct | New international institutions. Country strategy presentations, 1 |
| Week 11 | 26 Oct | Actionable economic diplomacy. Country strategy presentations, 2 |
| Week 12 | 02 Nov | Asia 2035 Policy Summit. |
| Week 13 | 09 Nov | (Deepavali Public Holiday; no class meeting) |

**Course Readings:**
Provided only on Canvas LMS.

**Structured Activities:**
Each class meeting begins with the Weekly Policy Briefing and then a brief lecture. Following a short break the remaining time in each class meeting will be devoted to structured activities that build towards the two writing assignments, the Policy Memo (individually written) and the White Paper (team written).
To repeat some of what is already said elsewhere:

1. In this course teamwork is high-stakes. The activities are structured to be, among other things, relatively open and subject to monitoring to build team cohesion and reduce free-riding.
2. The course accepts no late submissions. The Policy Memo is due four days after class that week but most of it should already be written in the run-up to that week. Similarly, the White Paper.
3. Both in these structured activities and in your research, you are encouraged to use AI LLMs and online resources. But you must synthesise, double-check, and improve. Do not just directly copy entire chunks of text. You will be asked in presentations and negotiations to defend and explain your ideas in real time, and you will not do well if all you have done to prepare is copypaste LLM output.

**W03 "Mapping the Nation's Geoeconomic Vulnerabilities"**
Meet in assigned PP5182-country team. Your task is to identify and map the nation's exposure to modern unilateral shocks due to strategic interdependence. Use AI LLMs and other online resources to analyse national vulnerability in any of supply-chain disruption; trade tariffs; export restrictions; semiconductor dependence; critical minerals supplies; digital trade; AI governance; regional payment systems; food security; maritime logistics; energy transition; green supply chains; power-asymmetric unilateralism; chokepoint and inter-dependence weaponisation; commodity price volatility; trade fragmentation; fractured multilateralism; or yet others your team brainstorms.
What does your team identify as the nation's greatest geoeconomic threat? What can you say about the mechanisms underpinning that threat?
Before the end of class, each team member will choose a distinct narrow challenge from this brainstorming to be the subject for the individual Policy Memo (due W06). This can be the same as the topic for the team's White Paper or it can be a gentle dissenting minority

report. Either way the individual should think how that gets to show their own capabilities in the analysis and writing.
(Class debrief, final 30 minutes): Each team briefly shares their identified primary vulnerability with the entire class, briefly describing the mechanisms at work.
Use the PP5182 Canvas Discussion Board "W03: Mapping the Nation's Geoeconomic Vulnerabilities" to post a 3-point summary of the team's chosen topic.

**W04 "Economic Security and Chokepoint Analysis"**
This meeting lets you pitch and have peer-reviewed the outline of your individual Policy Memo. Focus on economic mechanisms and incentives, not just power politics.
Bring a 3-point outline of your individual Policy Memo to class, whether on hardcopy or shared via the Cloud or Canvas Group Space. The outline must cover the problem (the specific geoeconomic threat), the mechanism (the market and political forces driving this threat), the options (at least two different actions the government can take in response).
(Peer Review) In each team, critically review every member's outline: is the problem framed through a clear and explicit economic mechanism? Are the policy options feasible and practical for a small state? (Again, no one here is China or the US.)
(Class debrief, final 30 minutes): A selection of outlines will be presented to be analysed by the class, along the same lines as the peer review process. This serves as a check on what's been shared in individual team reviews.
Use the PP5182 Canvas Discussion Board "W04: Economic Security and Chokepoint Analysis".

**W05 "Industrial Policy and Tariff Stress Tests"**
A unilateral shock has just hit the global economy. (There are many, emerging from Great Power actions in past weeks.)

(20 minutes) Each individual rough-drafts their individual Policy Memo briefing following the earlier-given format (or works over a rough draft they'd brought in to the meeting). The goal is not to have a polished version but to put down the critical points, including where further research over the next four days will clarify.
(60 minutes) A random selection—as many as will fit in the time—of individuals will present their one-page rough draft to the rest of the class, who will seek to clarify and to compare how different nations are responding. Is there alignment? Who is acquiescing? Who are trying to aggregate and build coalitions?
Use the PP5182 Canvas Discussion Board "W05 Industrial Policy and Tariff Stress Tests".

**W06 "Policy Memo Peer Review"**

In four days your Policy Memo must be submitted. This meeting is the final red-teaming on your draft.

(Pairwise cross-country, 40 minutes) For fresh eyes, pair up with a classmate from a *different* team, to read one another's draft Policy Memo. Provide rigorous constructive feedback:

1. Precision: Word limit? Unnecessary filler material? Right emphasis?
2. Structure: Header, Summary, Background, Analysis/Options, Recommendation?
3. Actionability: Recommendations concrete? Backed by evidence?
4. Integrity: Points to or indicates rigorous analysis?

(Class debrief, final 40 minutes) Class comes together to discuss common structural issues and challenges.

**W07 "G-Minus Optional Superpower"**

The team's collective project begins. Synthesise the submitted individual analyses into a cohesive thematic focus for the White Paper.

(Strategy design and thematic synthesis; 40 minutes) In each team, share the core findings of individual Policy Memos. Consider how the different challenges identified can fit into a single, broader national policy imperative: e.g., "semiconductor supply chains" and "maritime logistics" might be merged into "Technological and Logistics Resilience" for the team's White Paper. Put explicit focus on the Great Powers: What does your national strategic landscape look like if the Great Powers disengage or are actively hostile?

(Class debrief, 40 minutes) Share the team's integrated policy problem and view on the "G-Minus" landscape. Every team member should be ready to step up and explain why this unified topic matters to the nation.

**W08 "The 3A Response Matrix"**

Provide an analytical framing for the national strategy the team will be proposing.

(Build the Matrix; 40 minutes) Working in each team

1. If the team seeks to apply an alternative conceptual framework, apply and frame a strategy clearly within that architecture.
2. If the team applies the 3A framework, draft a matrix that covers:
   a. **Acquiesce**: Where must the nation accept the restrictions imposed by "power-asymmetric unilateralism" because it is too costly otherwise? How much does the nation have to put into this to put on an acceptable front?
   b. **Adapt**: What is the nation doing to adapt internally and to mitigate generally,

perhaps by aggregating with others into sensible coalitions? How do these help build resilience?

c. **Aggregate**: Who is the nation building connections with? How do these connections create and improve outside options?

(Interactive Gallery Walk; 40 minutes) Post-it comments: In the chosen framework (3A or otherwise) is the matrix realistic and logically consistent? If 3A, is the alignment realistic and will there be repercussions; does the acquiescence give away too much; what other ways can the nation better adapt and mitigate, with aggregation or otherwise?

1. If physical, teams put up matrices on flipchart-equivalents. The class walks around the room and leaves constructive feedback on other teams' matrices using Post-it notes.
2. If online/Canvas, upload a PDF or other image of your matrix to the PP5182 Canvas Discussion Board "W08 The 3A Response Matrix". The class leaves constructive feedback on other team's posts.

Each team should take note of the comments left by the rest of the class (whether collecting Post-it notes or saving the information from Canvas).
Use the PP5182 Canvas Discussion Board "W08 The 3A Response Matrix".

**W09 "Strategic Competition and Coalition Building"**

Prepare for upcoming Country Strategy presentations and the Asia 2035 Policy Summit by identifying potential coalition partners. Do this by building on two ideas: Seek to make cooperation ordinary. Mitigate "power-asymmetric unilateralism" (bullying).
(National preparation, 10 minutes) Given what you have seen of their teams' thinking, identify possible other nations that might share your interests or complement your strengths or indeed vulnerabilities. Prepare a 2-sentence "elevator pitch" of your team's positioning and what you seek in partner teams.
(Bilateral speed dating, 40 minutes) Approach others in at least three conceptual prioritised rounds.

1. Most natural partner
2. Engage with a team that has a different or competing perspective, if only so you know what to watch out for later.
3. Wild-card.

Ask where do the other team's interests overlap with your own? If your goals align in a sustained way, note for later that incentive-compatible coalition to potentially come back to.
Don't spend more than 10 minutes in any one conversation; move on quickly to get a sense of what the market is overall and to check out yet other coalition partners.

(Coalition debrief, 30 minutes) Back in your own teams, share your insights on potential allies and opponents. Think through how this might alter your team strategy going forwards.

**W10, W11 "Country Strategy presentations"**

Country strategy presentations count for 20% of the grade.

Each team has 15 minutes to make their formal presentation (5 in W10, 5 in W11).

Presentation rules:

1. Presentation length is no more than 8 minutes, strictly.
2. QnA no more than 7 minutes, strictly.

When each team is presenting, the rest of the class role-plays Minister's Senior Advisory Staff to help improve the eventual White Paper.

1. Challenge the presenters' assumptions
2. Query their proposed mechanisms and attributed incentives - what are the nations seeking to achieve?
3. Question the feasibility of their proposed coalitions?

**W12 "Asia 2035 Policy Summit and Negotiation"**

This simulates a regional summit; it provides a test of national strategies proposed in the White Paper drafts, and provides for the final White Paper empirical evidence.

Each team seeks to build coalitions and negotiate cross-team agreements to better safeguard its nation's economic security.

(Open negotiation, pre-summit opening; 50 minutes) Work the room to pitch your team's proposals. Engage with an eye on the following:

1. Form incentive-compatible coalitions to mitigate shocks on your national vulnerabilities.
2. Negotiate concrete agreements
3. Establish an understanding so that remaining differences don't escalate.

Remember your team performance in this simulation counts for 15% of your grade.

Make sure to take exhaustive notes in these negotiations. These will provide the substance in the empirical evidence of your White Paper. Focus especially on

1. **Concessions**: What did others concede? What did you give up?
2. **Sticky Disagreements**: Why and where did negotiations stall?
3. **Coalition Formation**: Who's in your coalition? Conditions agreed to get them on board?
4. **Implementation Challenges**: What obstacles remain to implement your proposals?

(Summit read-out; 30 minutes) Each team gives a brief report on their final aggregation status: Coalitions made; concessions; remaining disagreements.

**W13 "White Paper due Fri COB"**

No scheduled class meeting. Submit the White Paper on Canvas by Friday COB. Keep in mind:

1. The White Paper is a professional-grade government policy document written to convince policy leaders and lawmakers;
2. The White Paper integrates earlier problem definitions; the strategy framework (3As or otherwise); empirical evidence on acceptability from the Policy Summit;
3. The White Paper carries the appropriate standard on academic integrity—this means, among other things, cite external sources, data points, and conceptual models.